

stock, industry, and market trending in the same direction for the best result).

You may want to score the chart pattern, too. I described the scoring mechanism in my second book, *Trading Classic Chart Patterns*. A review of the technique over a decade later shows it still works well. It will help you select patterns that perform better and avoid the duds.

Knots and Swing Trading Pullbacks

Let's dig in and discuss some swing trading setups. [Figure 1.8](#) shows what I call a knot. It's a useful way of detecting when a pullback will start and at what price. It's ideal for swing traders who want to make money when price breaks out downward from a chart pattern in its initial push lower.

Let's look at Steelcase on the left of the figure. A double top forms at AB and confirms at C when price closes below the horizontal line. How low will the stock drop in its initial descent?

Answer: to the knot at D. I define a knot as a place in a strong trend (E to A in this example) where price moves sideways for at least 3 days. When it's the *first knot closest* to the double bottom (the first location of support, really, below the pattern's breakout), expect the stock to bottom there and begin a pullback.

In this example, knot D is the first support area below C. Price reaches the area at F and begins to pull back to the price of C.

In my experience with knots, I know to place an order to close out the trade at the *top* of the knot, not the middle or bottom. Sometimes, price touches the top of the knot and reverses. At other times, the stock drops like we see here at F before reversing.

Setup 2

Let's take the case on the far right of the figure ("Setup 2"). In the rise from I to H, there is no knot of support. The uphill move is fast and long.

The way to trade this is to split the move in half and place an order to close out the trade there. In this example, midway up the run from I to H is J.